

Example Commercial Bank Limited

Annual Report 2025-26

Directors' Report

The Board of Directors of Example Commercial Bank Limited presents the annual report together with the audited financial statements for the year ended March 31, 2026.

Corporate governance

The Audit Committee of the Board met six times during the year and reviewed the internal audit and concurrent audit reports, the compliance function and the status of implementation of the Risk Based Internal Audit. The Risk Management Committee of the Board reviewed credit risk, market risk, liquidity risk and operational risk, and approved the revised concentration risk management policy, including the limits on exposure to a single counterparty and to groups of connected counterparties.

The Board approved the Know Your Customer and Anti-Money Laundering policy, which requires customer due diligence at account opening, periodic updation of KYC based on the risk category of the customer and reporting of suspicious transactions to FIU-IND. The policy is reviewed by the Board annually.

The Bank has a Board-approved customer grievance redressal policy. Complaints are acknowledged within one working day and the Customer Service Committee of the Board reviews complaint trends every quarter. The Bank has appointed an Internal Ombudsman who examines every complaint that is partly or wholly rejected by the Bank before the decision is conveyed to the customer.

The outsourcing policy approved by the Board sets out the criteria for selecting service providers, the due diligence to be performed and the Bank's continued responsibility for outsourced activities. A cyber security policy, distinct from the information technology policy, has been approved by the Board, and the Special Committee of the Board for Monitoring and Follow-up of cases of Frauds reviews all frauds of Rs. 1 crore and above.

Schedule 18 - Notes to Accounts

(1) Regulatory capital - Composition of Regulatory Capital

Particulars (Rs. in crore)	31.03.2026	31.03.2025
Common Equity Tier 1 capital	6,080	6,300
Tier 1 capital	7,120	7,050
Total capital	8,640	8,700
Total risk weighted assets	80,000	72,500
CET1 Ratio (%)	7.60	8.69
Tier 1 Ratio (%)	8.90	9.72
Total Capital Ratio - CRAR (%)	10.80	12.00
Leverage Ratio (%)	3.90	4.10

(2) Asset liability management - Maturity pattern of certain items of assets and liabilities

The maturity pattern of deposits, advances, investments, borrowings and foreign currency assets and liabilities is given in the table below, bucketed from day 1 to over 5 years.

Liquidity coverage ratio (LCR) and Net Stable Funding Ratio (NSFR)

Particulars	Q4 FY26	Q3 FY26
Liquidity Coverage Ratio (%)	104.20	109.80
Net Stable Funding Ratio (%)	101.50	103.10

(3) Investments - Composition of investment portfolio

Government securities, other approved securities, shares, debentures and bonds, subsidiaries and joint ventures.

(4) Asset quality - Classification of advances and provisions held

Particulars	31.03.2026	31.03.2025
Gross NPA to Gross Advances (%)	4.10	3.60

Net NPA to Net Advances (%)	1.60	1.20
Provision coverage ratio (%)	71.20	74.00

Sector-wise advances and Gross NPAs: agriculture and allied activities, industry, services and personal loans.

(5) Exposures

Exposure to real estate sector and exposure to capital market are within the Board-approved limits.

(6) Concentration of deposits, advances, exposures and NPAs

Deposits of the twenty largest depositors constitute 6.2% of total deposits of the bank.

(7) Derivatives

The Bank undertakes forward rate agreements and interest rate swaps for hedging its balance sheet.

(11) Disclosure of complaints

Number of complaints received during the year: 4,812; complaints pending at the end of the year: 57.

(12) Disclosure of penalties imposed by the RBI

No penalty was imposed by the Reserve Bank of India on the Bank during the year.

(14) Other disclosures - Business ratios

Particulars	2025-26	2024-25
Return on Assets (%)	0.62	0.81
Profit per employee (Rs. in lakh)	9.8	12.1

Priority sector lending

Particulars	2025-26
Priority sector advances as % of ANBC	38.20

Payment of DICGC insurance premium: the Bank has paid the deposit insurance premium to DICGC in time. Related party disclosures are made as per Accounting Standard 18.